

ECONOMY & INDUSTRY

199

NATIONAL ECONOMIES

1

DETERMINISTIC ENGINE

○

SCRIPTED EVENTS

FROM THE DEVELOPMENT DESK · AUGUST 2026

Every one of PoliGeo's 199 nations runs its own economy, and none of them pauses for you. One deterministic engine ticks forward in real time: output, prices, currencies, markets and jobs are recomputed continuously, whether you are watching or not.

There is no economy tab bolted onto the side. The economy is the transmission system of the whole game. Close the Strait of Hormuz and Brent spikes; oil feeds the inflation print; the print reaches the central bank, the markets, and eventually the voters. Sanction Beijing and trade reroutes, growth bleeds on both sides of the Pacific, and the S&P answers within the week. Every shock propagates through the same chain of consequence — **a war moves oil, oil moves the economy, and the electorate answers at the next election**, if you allow one.

Industry is where that economy becomes power. Each nation's productive base — energy, resources, manufacturing — determines what it can actually sustain: the materiel a war burns through, the exports a rival can embargo, the leverage a tariff really carries. A blockade is not a status effect; it is missing inputs working through somebody's supply chain.

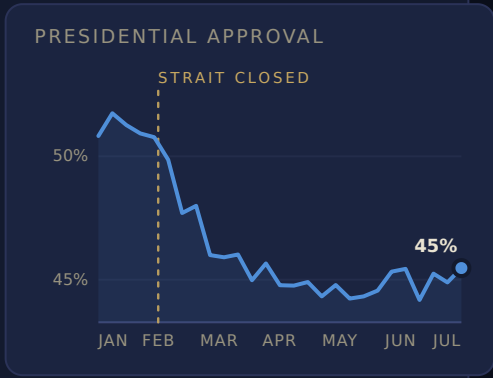
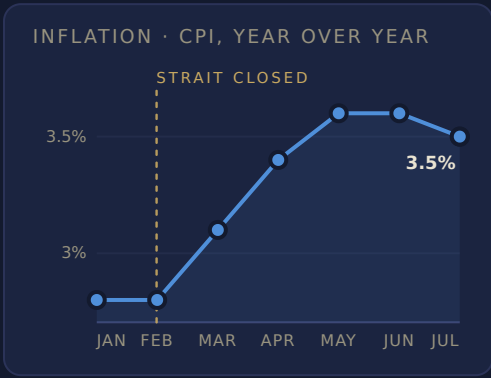
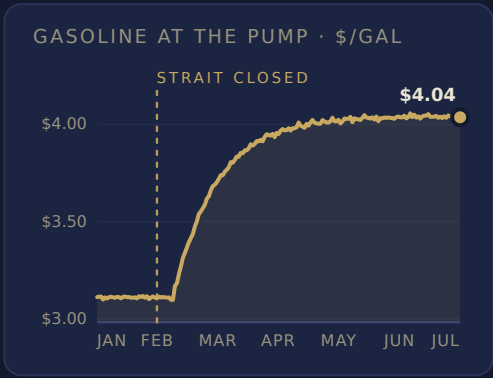
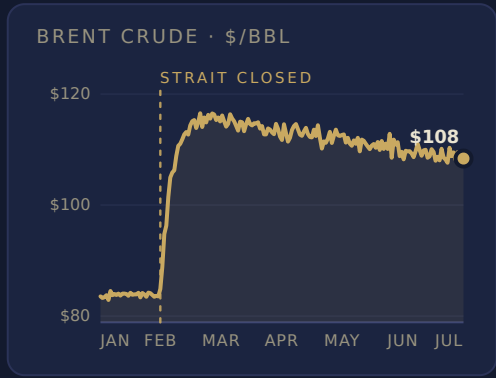
You hold the real levers: the budget, taxes, tariffs, sanctions, subsidies, the pressure you put on the central bank. The engine weighs every plausible outcome and hands you the bill. Cut rates and the market cheers today; the inflation print answers in six months.

Nothing is scripted. No two economies collapse the same way.

I THE HORMUZ SHOCK

One closed strait, four instruments

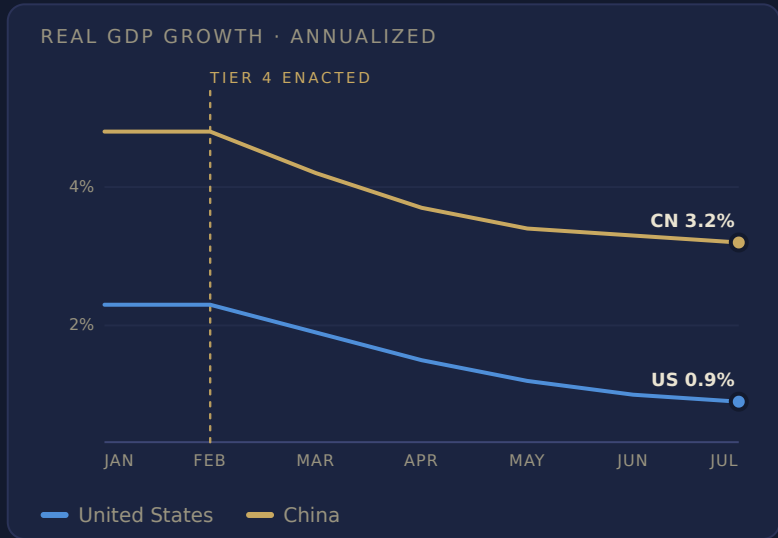
A live engine run: the Strait of Hormuz closes one month in, and the same shock is read off four different gauges. Crude reprices in days, the pump follows in weeks, the CPI print lands a month later, and approval pays for all of it. Dotted line marks the closure.



II TIER 4 ON BEIJING

Maximum sanctions on China: growth and the tape

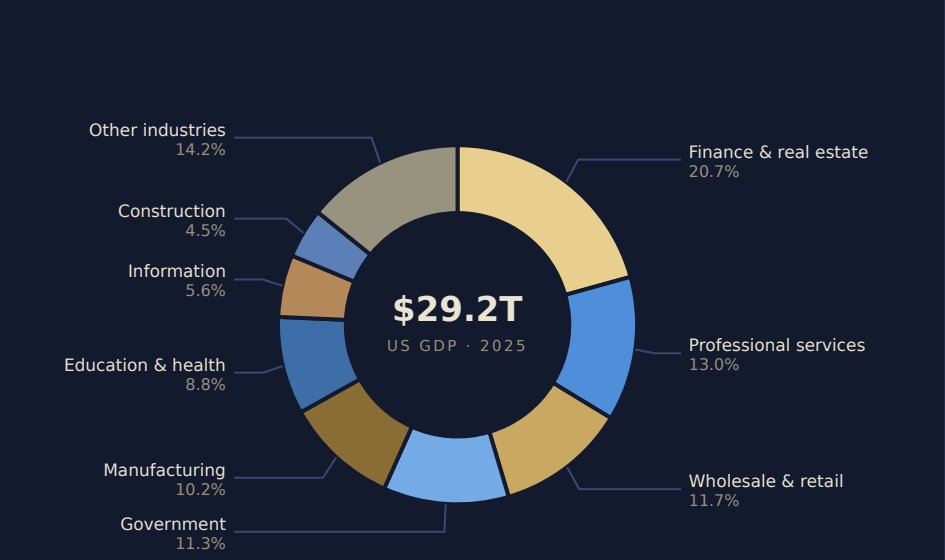
Full Tier 4 sanctions enacted one month in. Both economies bleed — the target more, the sender not nothing — and the S&P 500 gives back **12.2%** before finding a floor. Hollow candles close up, filled candles close down.



III THE INDUSTRIAL BASE

What the American economy is made of

Every nation carries a sector wheel — share of GDP by industry. It decides what a blockade starves, what a tariff protects, and what your war can actually consume.



IV THE CORPORATES

The four largest firms, trading normally

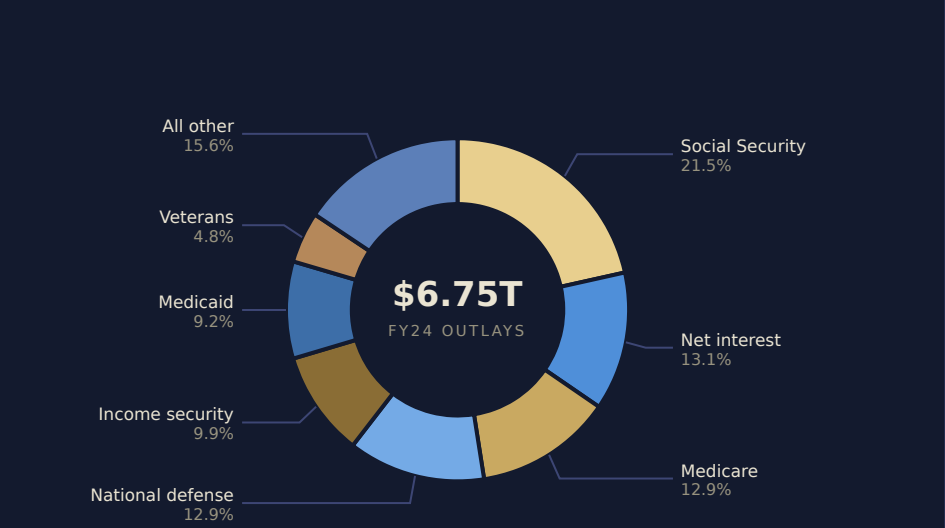
Listed companies are simulated tickers. One calm month of daily candles — before you touch anything.



V THE BUDGET

Federal outlays, FY 2024

The ledger you inherit: \$6.75 trillion out the door, and net interest now larger than the defense budget. Every slice is a lever — and a constituency.



VI THE BRIEFING

Economic briefing · January 20, 2025

Day one. The macro picture handed to every new administration — this is the starting state of the simulation.

MEMORANDUM FOR THE PRESIDENT COUNCIL OF ECONOMIC ADVISERS · INAUGURATION DAY BRIEF · 20 JAN 2025	
GROWTH	Real GDP expanded 2.8% in 2024; the engine's 2025 baseline tracks +2.1% , cooling but above trend.
PRICES	CPI at 2.9% , core at 3.2%. Disinflation has stalled above the Federal Reserve's 2% target.
LABOR	Unemployment 4.1% ; payrolls +256k in December; wage growth 3.9% and outpacing prices.
RATES	Fed funds held at 4.25-4.50% ; markets price two cuts this year. 10-year Treasury at 4.61%.
MARKETS	S&P 500 at 5,996 . Dollar index 109 — the strongest in two years, squeezing exporters.
ENERGY	Brent \$83.81 , WTI \$77; retail gasoline \$3.11/gal. Inventories thin; Gulf transit risk is the swing factor.
FISCAL	Debt \$36.2T ; FY24 deficit \$1.83T (6.4% of GDP). Net interest now exceeds the defense budget.
RISKS	Tariff escalation, a Strait of Hormuz closure, and debt-service spiral flagged as the three live tail risks.